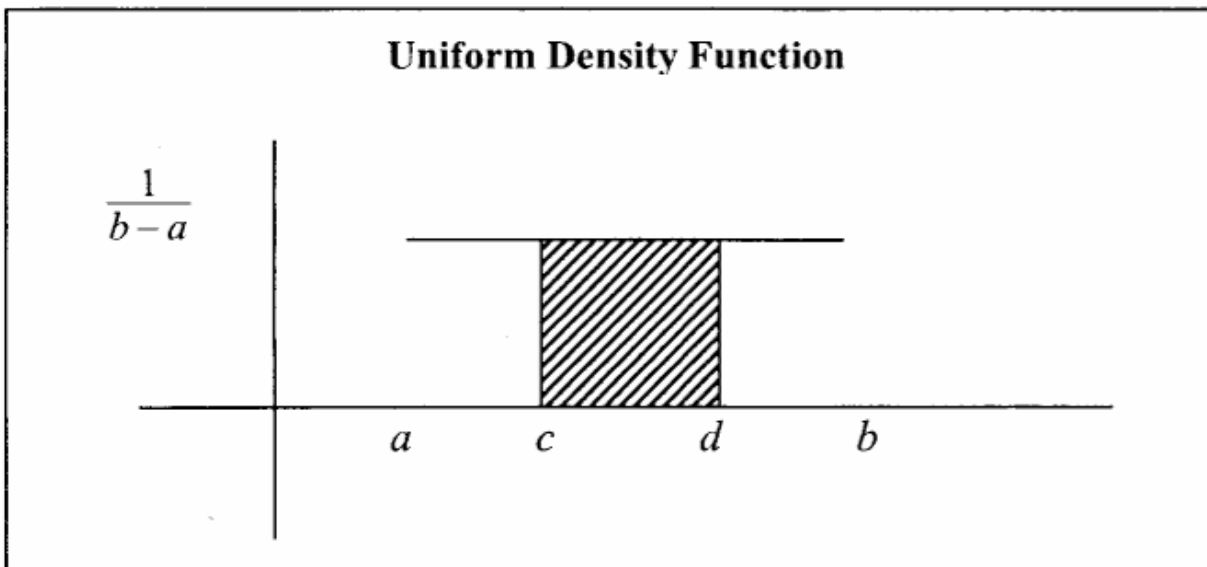


Uniform distribution

Definition:

A Uniform Distribution is a type of probability distribution in which every outcome in a given range is equally likely to occur.

The general uniform density function is constant on an interval $[a, b]$, and 0 otherwise. To assure that the area bounded by the density function and the x -axis is 1, the constant value must be $\frac{1}{b-a}$.



Uniform distribution

$$\begin{aligned}(a, b) &= \text{range of values} \\ f(x) &= \frac{1}{b-a}, \quad a < x < b \\ \mathbf{E}(X) &= \frac{a+b}{2} \\ \text{Var}(X) &= \frac{(b-a)^2}{12}\end{aligned}$$

Normal distribution

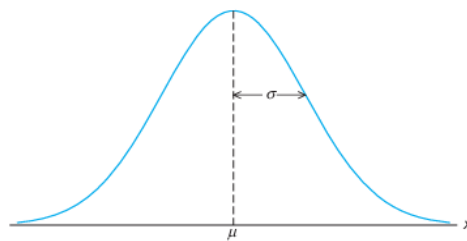


Figure 6.2: The normal curve.

Normal distribution has a density

$$f(x) = \frac{1}{\sigma\sqrt{2\pi}} \exp \left\{ \frac{-(x - \mu)^2}{2\sigma^2} \right\}, \quad -\infty < x < +\infty,$$

where parameters μ and σ have a simple meaning of the expectation $\mathbf{E}(X)$ and the standard deviation $\text{Std}(X)$. This density is known as the bell-shaped curve, symmetric and centered at μ , its spread being controlled by σ . As seen in Figure 4.6, changing μ shifts the curve to the left or to the right without affecting its shape, while changing σ makes it more concentrated or more flat. Often μ and σ are called *location* and *scale* parameters.

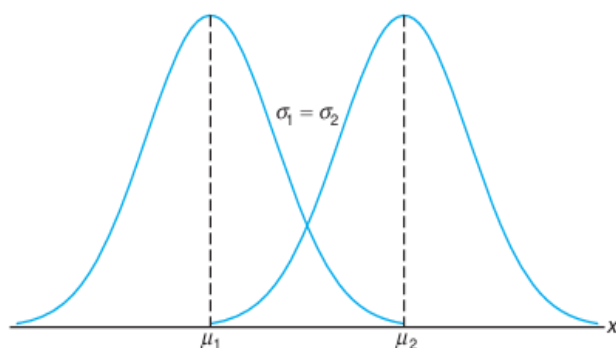


Figure 6.3: Normal curves with $\mu_1 < \mu_2$ and $\sigma_1 = \sigma_2$.

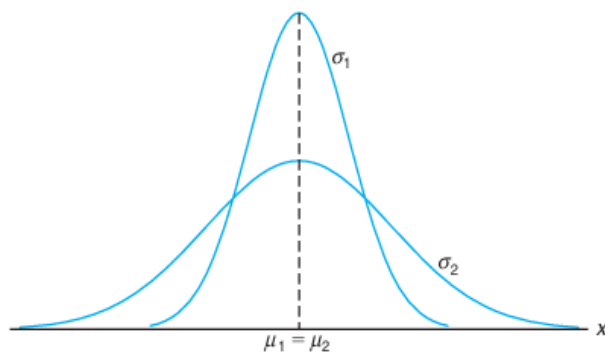


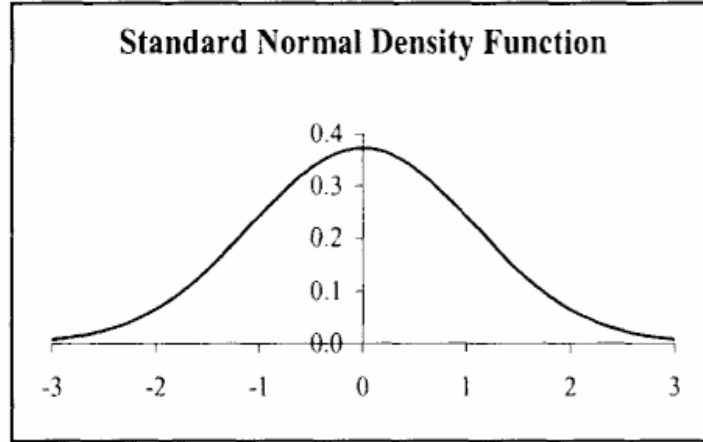
Figure 6.4: Normal curves with $\mu_1 = \mu_2$ and $\sigma_1 < \sigma_2$.

**Normal
distribution**

μ	=	expectation, location parameter
σ	=	standard deviation, scale parameter
$f(x)$	=	$\frac{1}{\sigma\sqrt{2\pi}} \exp \left\{ \frac{-(x - \mu)^2}{2\sigma^2} \right\}, \quad -\infty < x < \infty$
$\mathbf{E}(X)$	=	μ
$\text{Var}(X)$	=	σ^2

Standard Normal distribution

The distribution of a normal random variable with mean 0 and variance 1 is called a **standard normal distribution**.



<u>NOTATION</u>	Z	=	Standard Normal random variable
	$\phi(x)$	=	$\frac{1}{\sqrt{2\pi}} e^{-x^2/2}$, Standard Normal pdf
	$\Phi(x)$	=	$\int_{-\infty}^x \frac{1}{\sqrt{2\pi}} e^{-z^2/2} dz$, Standard Normal cdf

A Standard Normal variable, usually denoted by Z , can be obtained from a non-standard Normal(μ, σ) random variable X by *standardizing*, that is, subtracting the mean and dividing by the standard deviation,

$$Z = \frac{X - \mu}{\sigma}. \quad (4.16)$$

Unstandardizing Z , we can reconstruct the initial variable X ,

$$X = \mu + \sigma Z. \quad (4.17)$$

Using these transformations, any Normal random variable can be obtained from a Standard Normal variable Z ; therefore, we need a table of Standard Normal Distribution only ([Table A4](#)).

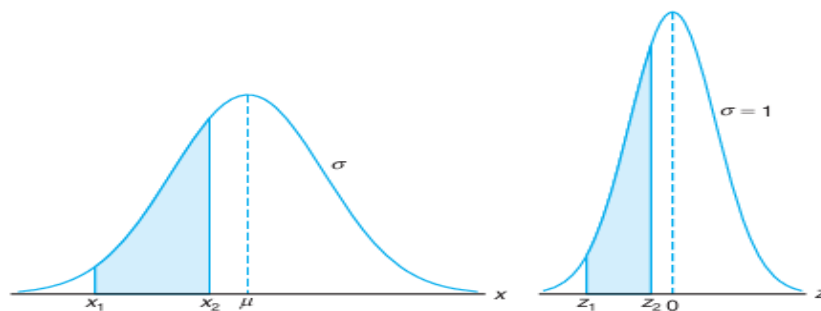


Figure 6.8: The original and transformed normal distributions.

To find $\Phi(z)$ from [Table A4](#), we locate a row with the first two digits of z and a column with the third digit of z and read the probability $\Phi(z)$ at their intersection. Notice that $\Phi(z) \approx 0$ (is “practically” zero) for all $z < -3.9$, and $\Phi(z) \approx 1$ (is “practically” one) for all $z > 3.9$.

Example 4.10 (COMPUTING STANDARD NORMAL PROBABILITIES). For a Standard Normal random variable Z ,

$$\begin{aligned} P\{Z < 1.35\} &= \Phi(1.35) = 0.9115 \\ P\{Z > 1.35\} &= 1 - \Phi(1.35) = 0.0885 \\ P\{-0.77 < Z < 1.35\} &= \Phi(1.35) - \Phi(-0.77) = 0.9115 - 0.2206 = 0.6909. \end{aligned}$$

Example 6.2: Given a standard normal distribution, find the area under the curve that lies

- (a) to the right of $z = 1.84$ and
- (b) between $z = -1.97$ and $z = 0.86$.

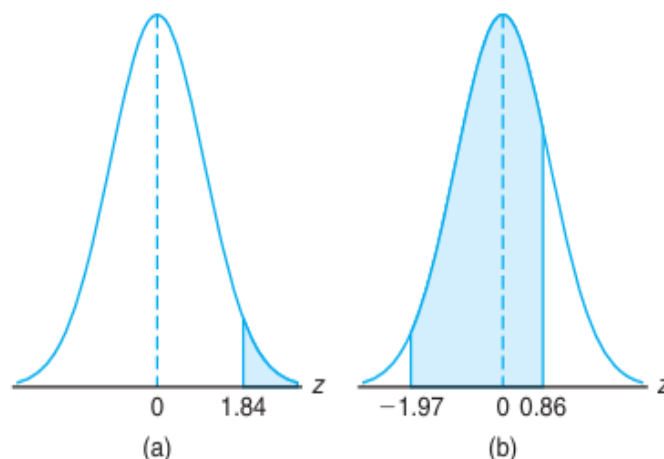


Figure 6.9: Areas for Example 6.2.

Solution: See Figure 6.9 for the specific areas.

- (a) The area in Figure 6.9(a) to the right of $z = 1.84$ is equal to 1 minus the area in Table A.3 to the left of $z = 1.84$, namely, $1 - 0.9671 = 0.0329$.
- (b) The area in Figure 6.9(b) between $z = -1.97$ and $z = 0.86$ is equal to the area to the left of $z = 0.86$ minus the area to the left of $z = -1.97$. From Table A.3 we find the desired area to be $0.8051 - 0.0244 = 0.7807$. ■

Example 6.3: Given a standard normal distribution, find the value of k such that

- (a) $P(Z > k) = 0.3015$ and
- (b) $P(k < Z < -0.18) = 0.4197$.

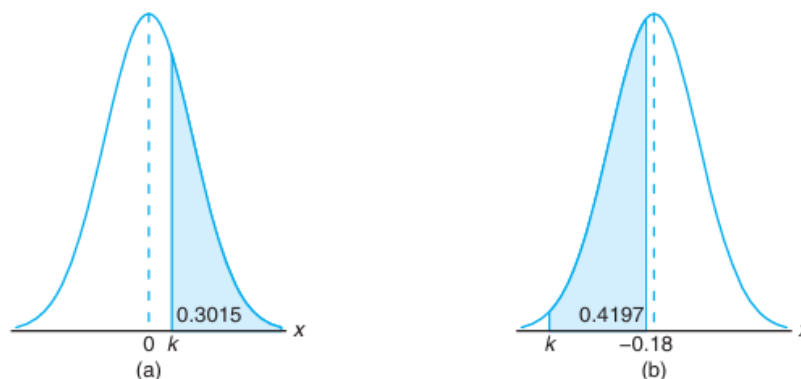


Figure 6.10: Areas for Example 6.3.

Solution: Distributions and the desired areas are shown in Figure 6.10.

- (a) In Figure 6.10(a), we see that the k value leaving an area of 0.3015 to the right must then leave an area of 0.6985 to the left. From Table A.3 it follows that $k = 0.52$.
- (b) From Table A.3 we note that the total area to the left of -0.18 is equal to 0.4286. In Figure 6.10(b), we see that the area between k and -0.18 is 0.4197, so the area to the left of k must be $0.4286 - 0.4197 = 0.0089$. Hence, from Table A.3, we have $k = -2.37$. ▮

Example 6.4: Given a random variable X having a normal distribution with $\mu = 50$ and $\sigma = 10$, find the probability that X assumes a value between 45 and 62.

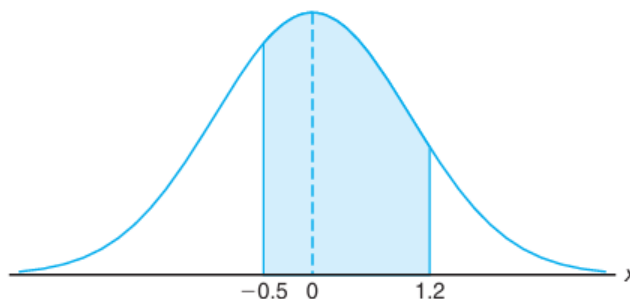


Figure 6.11: Area for Example 6.4.

Solution: The z values corresponding to $x_1 = 45$ and $x_2 = 62$ are

$$z_1 = \frac{45 - 50}{10} = -0.5 \text{ and } z_2 = \frac{62 - 50}{10} = 1.2.$$

Therefore,

$$P(45 < X < 62) = P(-0.5 < Z < 1.2).$$

$P(-0.5 < Z < 1.2)$ is shown by the area of the shaded region in Figure 6.11. This area may be found by subtracting the area to the left of the ordinate $z = -0.5$ from the entire area to the left of $z = 1.2$. Using Table A.3, we have

$$\begin{aligned} P(45 < X < 62) &= P(-0.5 < Z < 1.2) = P(Z < 1.2) - P(Z < -0.5) \\ &= 0.8849 - 0.3085 = 0.5764. \end{aligned}$$

Example 6.6: Given a normal distribution with $\mu = 40$ and $\sigma = 6$, find the value of x that has

- (a) 45% of the area to the left and
- (b) 14% of the area to the right.

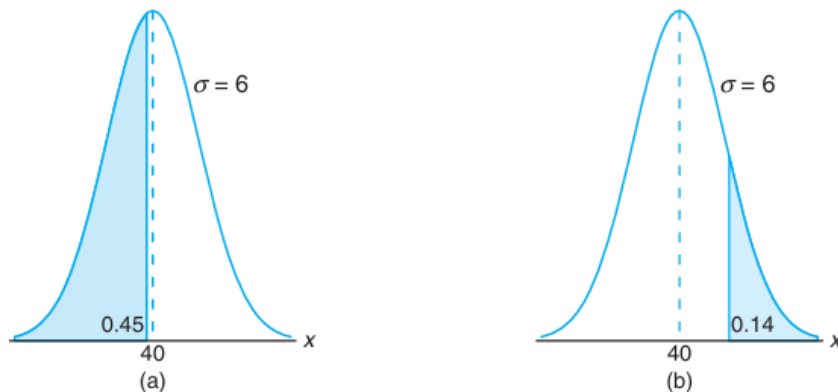


Figure 6.13: Areas for Example 6.6.

Solution: (a) An area of 0.45 to the left of the desired x value is shaded in Figure 6.13(a). We require a z value that leaves an area of 0.45 to the left. From Table A.3 we find $P(Z < -0.13) = 0.45$, so the desired z value is -0.13 . Hence,

$$x = (6)(-0.13) + 40 = 39.22.$$

- (b) In Figure 6.13(b), we shade an area equal to 0.14 to the right of the desired x value. This time we require a z value that leaves 0.14 of the area to the right and hence an area of 0.86 to the left. Again, from Table A.3, we find $P(Z < 1.08) = 0.86$, so the desired z value is 1.08 and

$$x = (6)(1.08) + 40 = 46.48.$$

Example 6.7: A certain type of storage battery lasts, on average, 3.0 years with a standard deviation of 0.5 year. Assuming that battery life is normally distributed, find the probability that a given battery will last less than 2.3 years.

Solution: First construct a diagram such as Figure 6.14, showing the given distribution of battery lives and the desired area. To find $P(X < 2.3)$, we need to evaluate the area under the normal curve to the left of 2.3. This is accomplished by finding the area to the left of the corresponding z value. Hence, we find that

$$z = \frac{2.3 - 3}{0.5} = -1.4,$$

and then, using Table A.3, we have

$$P(X < 2.3) = P(Z < -1.4) = 0.0808.$$

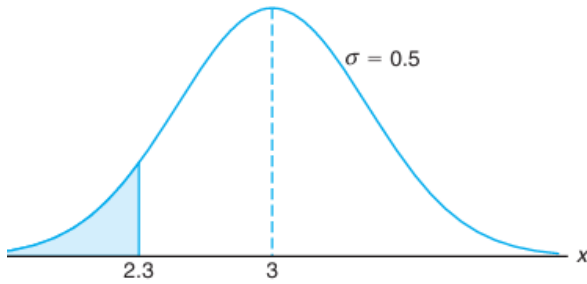


Figure 6.14: Area for Example 6.7.

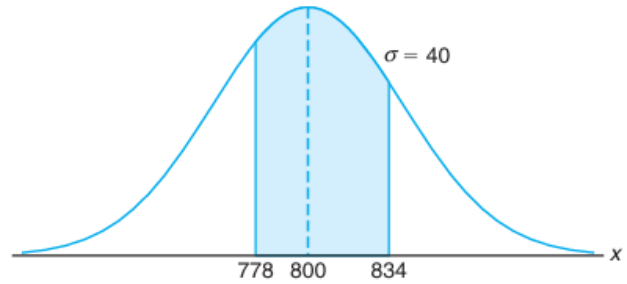


Figure 6.15: Area for Example 6.8.

Example 6.8: An electrical firm manufactures light bulbs that have a life, before burn-out, that is normally distributed with mean equal to 800 hours and a standard deviation of 40 hours. Find the probability that a bulb burns between 778 and 834 hours.

Solution: The distribution of light bulb life is illustrated in Figure 6.15. The z values corresponding to $x_1 = 778$ and $x_2 = 834$ are

$$z_1 = \frac{778 - 800}{40} = -0.55 \text{ and } z_2 = \frac{834 - 800}{40} = 0.85.$$

Hence,

$$\begin{aligned} P(778 < X < 834) &= P(-0.55 < Z < 0.85) = P(Z < 0.85) - P(Z < -0.55) \\ &= 0.8023 - 0.2912 = 0.5111. \end{aligned}$$

Example 6.9: In an industrial process, the diameter of a ball bearing is an important measurement. The buyer sets specifications for the diameter to be 3.0 ± 0.01 cm. The

implication is that no part falling outside these specifications will be accepted. It is known that in the process the diameter of a ball bearing has a normal distribution with mean $\mu = 3.0$ and standard deviation $\sigma = 0.005$. On average, how many manufactured ball bearings will be scrapped?

Solution: The distribution of diameters is illustrated by Figure 6.16. The values corresponding to the specification limits are $x_1 = 2.99$ and $x_2 = 3.01$. The corresponding z values are

$$z_1 = \frac{2.99 - 3.0}{0.005} = -2.0 \text{ and } z_2 = \frac{3.01 - 3.0}{0.005} = +2.0.$$

Hence,

$$P(2.99 < X < 3.01) = P(-2.0 < Z < 2.0).$$

From Table A.3, $P(Z < -2.0) = 0.0228$. Due to symmetry of the normal distribution, we find that

$$P(Z < -2.0) + P(Z > 2.0) = 2(0.0228) = 0.0456.$$

As a result, it is anticipated that, on average, 4.56% of manufactured ball bearings will be scrapped. ▮

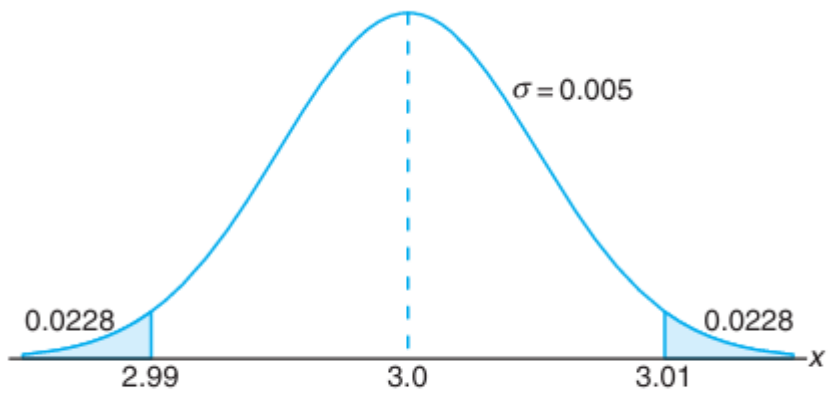


Figure 6.16: Area for Example 6.9.

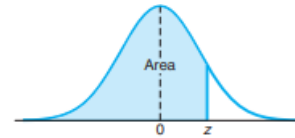


Table A.3 Areas under the Normal Curve

z	.00	.01	.02	.03	.04	.05	.06	.07	.08	.09
-3.4	0.0003	0.0003	0.0003	0.0003	0.0003	0.0003	0.0003	0.0003	0.0003	0.0002
-3.3	0.0005	0.0005	0.0005	0.0004	0.0004	0.0004	0.0004	0.0004	0.0004	0.0003
-3.2	0.0007	0.0007	0.0006	0.0006	0.0006	0.0006	0.0006	0.0005	0.0005	0.0005
-3.1	0.0010	0.0009	0.0009	0.0009	0.0008	0.0008	0.0008	0.0008	0.0007	0.0007
-3.0	0.0013	0.0013	0.0013	0.0012	0.0012	0.0011	0.0011	0.0011	0.0010	0.0010
-2.9	0.0019	0.0018	0.0018	0.0017	0.0016	0.0016	0.0015	0.0015	0.0014	0.0014
-2.8	0.0026	0.0025	0.0024	0.0023	0.0023	0.0022	0.0021	0.0021	0.0020	0.0019
-2.7	0.0035	0.0034	0.0033	0.0032	0.0031	0.0030	0.0029	0.0028	0.0027	0.0026
-2.6	0.0047	0.0045	0.0044	0.0043	0.0041	0.0040	0.0039	0.0038	0.0037	0.0036
-2.5	0.0062	0.0060	0.0059	0.0057	0.0055	0.0054	0.0052	0.0051	0.0049	0.0048
-2.4	0.0082	0.0080	0.0078	0.0075	0.0073	0.0071	0.0069	0.0068	0.0066	0.0064
-2.3	0.0107	0.0104	0.0102	0.0099	0.0096	0.0094	0.0091	0.0089	0.0087	0.0084
-2.2	0.0139	0.0136	0.0132	0.0129	0.0125	0.0122	0.0119	0.0116	0.0113	0.0110
-2.1	0.0179	0.0174	0.0170	0.0166	0.0162	0.0158	0.0154	0.0150	0.0146	0.0143
-2.0	0.0228	0.0222	0.0217	0.0212	0.0207	0.0202	0.0197	0.0192	0.0188	0.0183
-1.9	0.0287	0.0281	0.0274	0.0268	0.0262	0.0256	0.0250	0.0244	0.0239	0.0233
-1.8	0.0359	0.0351	0.0344	0.0336	0.0329	0.0322	0.0314	0.0307	0.0301	0.0294
-1.7	0.0446	0.0436	0.0427	0.0418	0.0409	0.0401	0.0392	0.0384	0.0375	0.0367
-1.6	0.0548	0.0537	0.0526	0.0516	0.0505	0.0495	0.0485	0.0475	0.0465	0.0455
-1.5	0.0668	0.0655	0.0643	0.0630	0.0618	0.0606	0.0594	0.0582	0.0571	0.0559
-1.4	0.0808	0.0793	0.0778	0.0764	0.0749	0.0735	0.0721	0.0708	0.0694	0.0681
-1.3	0.0968	0.0951	0.0934	0.0918	0.0901	0.0885	0.0869	0.0853	0.0838	0.0823
-1.2	0.1151	0.1131	0.1112	0.1093	0.1075	0.1056	0.1038	0.1020	0.1003	0.0985
-1.1	0.1357	0.1335	0.1314	0.1292	0.1271	0.1251	0.1230	0.1210	0.1190	0.1170
-1.0	0.1587	0.1562	0.1539	0.1515	0.1492	0.1469	0.1446	0.1423	0.1401	0.1379
-0.9	0.1841	0.1814	0.1788	0.1762	0.1736	0.1711	0.1685	0.1660	0.1635	0.1611
-0.8	0.2119	0.2090	0.2061	0.2033	0.2005	0.1977	0.1949	0.1922	0.1894	0.1867
-0.7	0.2420	0.2389	0.2358	0.2327	0.2296	0.2266	0.2236	0.2206	0.2177	0.2148
-0.6	0.2743	0.2709	0.2676	0.2643	0.2611	0.2578	0.2546	0.2514	0.2483	0.2451
-0.5	0.3085	0.3050	0.3015	0.2981	0.2946	0.2912	0.2877	0.2843	0.2810	0.2776
-0.4	0.3446	0.3409	0.3372	0.3336	0.3300	0.3264	0.3228	0.3192	0.3156	0.3121
-0.3	0.3821	0.3783	0.3745	0.3707	0.3669	0.3632	0.3594	0.3557	0.3520	0.3483
-0.2	0.4207	0.4168	0.4129	0.4090	0.4052	0.4013	0.3974	0.3936	0.3897	0.3859
-0.1	0.4602	0.4562	0.4522	0.4483	0.4443	0.4404	0.4364	0.4325	0.4286	0.4247
-0.0	0.5000	0.4960	0.4920	0.4880	0.4840	0.4801	0.4761	0.4721	0.4681	0.4641

